

AMAZON ADVERTISING SYSTEM

PSYCHOLOGY

Customer Search intent
Trust in brand
Reviews & Ratings
Price Perception
Product Image
Click/No click
Buy / Ignore

→
Customer Actions
Intents
Signals

TECHNOLOGY

Customer Search query
↓
Amazon algo.
↓
Keyword match
↓
Bid amount
↓
Ad relevance Sc.
↓
Ad Placement
↓
Impressions
↓
Click
↓
Data collection

→
Platform measures
Performance

BUSINESS

Revenue
↓
Sales Volume
↓
ROAS
↓
ACOS
↓
TACOS
↓
Profitability
↓
Budget decision
↓
Growth Strategy

Marginal Costs

CDS
Amazon fee
Advertising cost
Returns
Discounts
Promotion

Better Experience

more trust
Better service
Stronger brand

Higher bids

Better ads visibility
Higher throughput

Higher Profit

more budget
more profit